

Industry size, growth and market structure

US\$ 650 Bn	US\$ 1 Tn	US\$ 5.8 Tn	13%	#2 employer
Industry size, 2025F	Expected by 2030	Expected by 2047	Share of GDP by 2025	After agriculture

Market growth trajectory

Year	2017	2020	2025F	2030F	2047F
Indian real estate market size, US\$ Bn	120	180	650	1,000	5,800

Src: IBEF growth trajectory ↗

Core insights

- Historical growth: 2017 to 2025F moved from US\$120 Bn to US\$650 Bn
- Market is still under-penetrated versus urbanisation and income growth
- Premium and luxury homes are growing faster than affordable housing
- Commercial demand is led by GCCs, BFSI, flex and technology occupiers

Latest indicators and strategic implication

Indicator	Latest reading	Strategic implication
Urban population	542.7 Mn in 2025	Long runway for housing
Housing sales value	> Rs 6 lakh Cr in 2025	Value grew despite volume dip
Office leasing	55.16 MSF in 2025	GCCs are demand engine
Construction FDI	US\$ 64.25 Bn cumulative	Long-term foreign capital

Src: ANAROCK residential data ↗

JLL office leasing ↗

Key players across the ecosystem

DLF | Godrej Properties | Oberoi Realty | Prestige Estates | Lodha | Phoenix Mills | Brigade | Sobha
Tata Realty | Brookfield India REIT | Embassy REIT | Mindspace REIT

Industry takeaway

Real estate is not only “selling flats”. It is land sourcing, approvals, financing, execution, collections and asset monetisation.

Value chain and industry structure

End-to-end value chain

1. Land sourcing and approvals	2. Design and planning	3. Funding and presales	4. Procurement and construction	5. Sales, leasing and handover	6. Asset management
Clear title, zoning, RERA JDA/JV lowers upfront land cost	Product mix, FSI, architects Launch price and phasing	Debt, PE, buyer advances Collections drive working capital	Cement, steel, contractors Schedule and cost control	Channel partners, OC/CC Leasing or unit delivery	CAM, renewal, tenant mix Redevelopment and REIT exit

Bottlenecks: clean land title, environmental and municipal approvals, RERA registration, funding discipline, contractor execution, buyer collections and occupancy certificate.

Src: IBEF

Porter’s 5 Forces

Force	Level	What drives it
Threat of new entrants	Low	Land bank and approvals; track record matters; high working capital
Bargaining power of buyers	Medium-High	Choice in mid-market; loan rates affect demand; low in branded luxury
Bargaining power of suppliers	Low-Medium	Many suppliers; cement and steel cycles; labour availability risk
Threat of substitutes	Low-Medium	Renting and co-living; hybrid work for offices; e-commerce for retail
Industry rivalry	High	Many local developers; launch price competition; quality and location matter

Src: company filings / market research reports

Industry takeaway

Profitability depends less on “market size” and more on land cost, approval speed, collections, leverage and execution cycle.

Core demand segments: residential and office

Residential space | Segment overview

Metric	2025 reading
Sales volume	Down 14% to 3.96 lakh units
Sales value	Crossed Rs 6 lakh Cr; grew 6% YoY
Launches	Up 2% to 4.19 lakh units
City concentration	MMR and Pune had 49% of 2025 residential sales

Deep link: [ANAROCK 2025 residential review ↗](#)

- Premiumisation is absorbing price hikes; NHB HPI moved upward
- MMR and Bengaluru led supply; demand drivers include urbanisation, nuclear families, NRI/HNI demand and mortgages
- Watch affordability: price growth can lift value but reduce volume
- Risk: approvals, cost overruns, unsold inventory, rate hikes and city concentration

Key players: DLF | Godrej | Lodha | Oberoi | Prestige | Brigade | Sobha
Premium housing focus: higher margins, stronger buyer balance sheets, limited prime land and better collections.

Commercial office | Segment overview

City	2025 MSF
Bengaluru	14.15
NCR	10.12
MMR	8.23
Hyderabad	8.11
Pune	7.80
Chennai	5.60
Kolkata	1.15

Office leasing in top 7 cities was 55.16 MSF in 2025, up 10% YoY. GCCs were 41% of gross leasing, up from 36%.

- Demand led by GCCs, BFSI, consulting, technology and flex operators
- Large occupiers prefer Grade A assets, green buildings and metro access
- Operating model is lease plus maintenance, with REIT exit optional
- Watch occupancy, rentals, WALE and tenant concentration

Deep link: [office leasing by city ↗](#)

Key players: Embassy REIT | Mindspace REIT | Brookfield REIT | DLF Cyber City | RMZ | K Raheja | Brigade
Industry logic: India is a talent arbitrage market. GCC expansion converts global services growth into office demand.

Segment comparison: residential demand is measured through bookings, collections and inventory; office demand is measured through NOI, cap rate, WALE, occupancy and tenant quality.

Product mix and new-age real estate assets

Business model and industry product mix

Segment	How money is made	Typical model	Key metrics to track
Residential	Pre-sales, construction-linked collections, handover proceeds	Asset heavy; JDA/JV reduces land cash outflow	Bookings, collections, inventory, RERA approvals
Office	Lease rentals, CAM, deposits, asset sale or REIT monetisation	Annuity, high capex, occupancy sensitivity	NOI, cap rate, WALE, tenant quality
Retail malls	Base rent, revenue share, CAM, parking, ads	Tenant-mix and consumption-led annuity	Footfall, trading density, occupancy cost
Hospitality	Room revenue, F&B, events, management fees	Operating asset or management contract	ARR, RevPAR, occupancy, tourism cycle
Industrial/data center	Warehouse lease, BTS development, power-linked facilities	Long leases, high infra requirements	Power, location, e-commerce and cloud demand

Src: IBEF / company filings / industry primers

Retail, hospitality and new-age assets | 2025-26 datapoints

Asset	Key datapoint
Retail	GLV up 54% YoY in 2025; malls 45%, high street 48%
Retail demand	Apparel and F&B were 54% of H1 2025 leasing
Hospitality	15k-16k premium rooms to be added at 3.5-4% CAGR
Logistics	Industrial and logistics absorption 24.2 MSF in H1 2024
Data centres	Demand CAGR stated at 48% for 2020-32

Src: market reports / Business Standard

Segment logic and players

- Retail economics are driven by footfall, trading density, occupancy cost and tenant mix
- Hospitality benefits from domestic travel, MICE, business travel and tier 2 tourism
- Warehousing grows with e-commerce, 3PL, manufacturing and supply-chain formalisation
- Data centres need power, cooling, fibre connectivity and long-term anchor tenants

Key players: Phoenix Mills | Nexus Select | DLF | Brigade | Indian Hotels | Lemon Tree | Embassy Industrial | ESR | Blackstone

Risk profile: Residential = sales cycle risk; office and retail = annuity risk; hospitality = operating cycle risk.

Balance sheet strength and funding model

Developer balance sheet snapshot

Metric	DLF	Godrej	Oberoi	Prestige	Phoenix
FY25/FY26 revenue or income, Rs Cr	8,996	8,374	5,474	NA	3,814
PAT, Rs Cr	4,357	1,850	2,226	NA	NA
Net debt / cash, Rs Cr	Cash 5,302	Debt 6,414	Debt 2,895	Debt 4,313	Debt 2,707
Assets, Rs Cr	NA	NA	22,606	57,854	NA
Net worth, Rs Cr	NA	19,156	15,705	15,423	NA

[Deep link: DLF FY25 results ↗](#) *Company filings / annual reports*

Balance sheet quality test

- Strong developers now use pre-sales and JDA to reduce land cash lock-in
- Net debt is a critical check because demand shocks can freeze cash collections
- Inventory and receivable days matter more than accounting profits
- Balance sheet premium: DLF net cash, strong brand and large prime land bank

Stress test: funding capacity for land, approvals and construction even if sales slow for 12 months.

Capital source and use in model

Capital source	Use in model
Buyer advances	Funds construction if pre-sales strong
Debt/NBFC	Bridge land and working capital
PE/JV/JDA	Share risk, reduce upfront capital
REIT/asset sale	Monetise annuity assets

Src: funding models from company filings / primers

Cash-flow focus: accounting profit can mask collection stress when buyer collections slow.

Valuation lens, unit economics and risks

Income statement and valuation metrics

Ratios / Metrics	DLF	Godrej Prop.	Oberoi	Prestige	Phoenix
Mkt Cap, Rs Cr	1,86,032	58,332	58,874	68,956	51,130
P/E	43.9x	39.7x	28.6x	131.0x	52.0x
P/B	4.4x	3.4x	3.8x	4.5x	4.9x
ROE	11.4%	8.9%	14.7%	3.5%	9.8%
EV/EBITDA	59.1x	31.1x	20.0x	26.6x	23.6x

[Deep link: DLF results / market valuation inputs ↗](#)

Valuation lens by asset class

Lens	What to use
Residential	Pre-sales growth, collections, land bank GDV, P/E, P/B
Office / Retail	NOI, occupancy, cap rate, WALE, EV/EBITDA
Hospitality	ARR, RevPAR, occupancy, EBITDA per key
Land bank	NAV or sum-of-parts, not only DCF

Src: valuation primers

Cap rate = Net Operating Income / Property Value. FY25 primer cap rates: commercial 8.0%, retail 7.5%, warehousing 7.25%.

Unit economics and risk triggers

Rs 100 collections	Typical share
Land / approvals	25-35
Construction and contractors	30-35
Sales, admin, marketing	8-12
Finance, tax, contingency	8-12
Developer PAT / surplus	10-20

Src: project economics primer

- Premium multiple drivers: brand, launch pipeline, net cash, low inventory, rental annuity
- Discount reasons: approval delays, debt, slow collections, unsold inventory, weak governance
- If pre-sales are strong, working capital can be negative; if inventory builds, interest cost and debt rise fast
- Capacity utilisation = sold area / launchable area, not factory utilisation

Growth drivers, trends and strategic moves

Growth drivers

Driver	What is changing
Demand-side	Urban population 542.7 Mn in 2025, rising income, premiumisation, nuclear families and NRI/HNI demand
Supply-side	Branded developers, JDA/JV land models, institutional capital, REIT monetisation and better execution capability
Policy-side	RERA transparency, PMAY-U 2.0 for 1 crore beneficiaries, 100% FDI in townships, digitised land records
Technology-side	BIM, construction tech, AI lead scoring, digital documentation, smart homes and data centre demand

[Deep link: IBEF / policy and market drivers ↗](#)

Key market numbers: US\$650 Bn 2025F | US\$1 Tn 2030F | 3.96 lakh homes sold in 2025 | 55.16 MSF office leasing | GCCs 41%

Emerging trends

- Premium homes: value growth continues even when unit volumes cool down
- GCC offices: multinational expansion is the biggest commercial demand story
- Flex offices: corporates prefer managed seats and shorter commitments
- Retail upgrade: high streets and Grade A malls gain from F&B, fashion, luxury and entertainment
- ESG: green buildings, water use, embodied carbon and climate resilience are moving from good-to-have to must-have

Src: ANAROCK / JLL trend readings

Recent mergers, land deals and strategic moves

Company / Investor	Move	Why it matters
Oberoi Realty	Sold 21.74% stake in I-Ven Realty JV for Rs 1,250 Cr	Capital recycling and value discovery
Brookfield India REIT	Acquired 50% stake in Worldmark Aerocity from Bharti	REIT-led office consolidation
Godrej Properties	Acquired 14 land parcels in FY25 with Rs 26,500 Cr GDV	Asset-light land pipeline expansion
DLF	Luxury launches Privana and Dahlias drove record bookings	Premium housing power and brand pricing

[Deep link: Godrej land parcels ↗](#)

Src: REIT / DLF / company filings

Strategic implication: M&A/JDA matters because land is the biggest entry barrier and capital sink.

Risks to track and sector conclusions

Risks to track		
Risk	P	S
Approval and RERA delays	H	H
Interest rate and affordability	M	H
Input cost inflation	M	H
High leverage	M	H
Unsold inventory	M	M
Tenant concentration	M	M
ESG and water stress	M	M
Geopolitical capital flow risk	L	M

Src: industry primers / market reports

Mitigation: phase launches, protect collections, keep debt low, use JDA, diversify cities and maintain approval buffers.

Sector conclusion: the sector is attractive but cyclical; winners are branded, low-debt developers with strong land access and execution.

Key business risks and mitigation			
Risk	Probability	Severity	Mitigation
Approval delays	High	High	Stage-gate launches
Rate hike and affordability	Medium	High	Product mix
Cost inflation	Medium	High	EPC contracts
Leverage stress	Medium	High	Collections discipline
Local competition	High	Medium	Brand and location
ESG, water, climate	Medium	Medium	Green design

Src: company filings / risk disclosures

Industry takeaways

- Split the sector by residential, office, retail, hospitality and logistics
- Unit economics drive margins: land, construction and finance cost
- Rental assets: NOI, cap rate and WALE; residential: pre-sales and land bank
- Premium homes outperform through margins, prime-land scarcity and stronger buyers
- GCC expansion keeps office demand resilient despite hybrid work